



ANNOUNCEMENT OF THE UNAUDITED RESULTS FOR THE SIX MONTHS' PERIOD ENDED 31 DECEMBER 2012

The Directors of the East African Portland Cement Company Limited are pleased to announce the unaudited consolidated results for the six months' period ended 31st December 2012.

Consolidated Statement of Comprehensive Income for the six months' period ended:

	31 Dec 2012 Sh' 000	31 Dec 2011 Sh' 000
Revenue	4,549,385	4,952,435
Cost of Sales	(3,204,266)	(4,062,310)
Gross Profit	1,345,119	890,125
Other Operating Income	42,447	5,433
Administration and Selling Expenses	(1,000,298)	(1,126,259)
Profit/(Loss) from Operating Activities	387,268	(230,701)
Finance Income	1,341	10,195
Finance Costs	(12,089)	(26,695)
Profit Before Tax	376,520	(247,201)
Taxation (Charge)/Credit	(49,327)	(129,433)
Profit After Tax	327,193	(376,634)
Other Comprehensive Income	3,712	-
Total Comprehensive Income	330,905	(376,634)
Earnings Per Share	3.63	(4.18)

Consolidated Statement of Cash Flows for the six months' period ended:

	31 Dec 2012 Sh' 000	31 Dec 2011 Sh' 000
Cashflow Generated from Operations	157,178	(693,711)
Interest Paid	(142,181)	(99,847)
Interest Received	1,341	10,195
Taxation Paid	(543)	(1,656)
Cash Generated From Operating Activities	15,795	(785,019)
Net Cash Used in Investing Activities	(86,016)	(95,474)
Dividend Paid	-	-
Repayment of Lease obligation	(24,728)	(28,172)
Asset Financing Loan	26,777	-
Loan Repayment	(205,677)	(223,620)
Net Cash Used in Financing Activities	(203,627)	(251,792)
Net Decrease in Cash and Cash Equivalents	(273,849)	(1,132,285)
Cash and Cash Equivalents as at 1st July	(371,808)	562,679
Cash and Cash Equivalents as at 31 December	(645,656)	(569,606)

Consolidated Statement of Financial Position as at:

	31 Dec 2012 Sh' 000	30 June 2012 Sh' 000
Assets		
<i>Non-current assets</i>		
Property, plant & equipment	7,309,461	7,463,527
Intangible and other non-current assets	196,915	209,100
Investment property	1,495,000	1,495,000
Loan swap asset	2,197,102	2,293,200
Rrestricted deposits	60,066	59,755
Total non-current assets	11,258,544	11,520,583
<i>Current assets</i>		
Inventories	2,027,237	1,724,887
Trade and other receivables	1,350,176	893,457
Cash and cash equivalents	216,851	79,121
Total current assets	3,594,264	2,697,465
Total assets	14,852,808	14,218,048
Equity and Liabilities		
<i>Capital and reserves</i>		
Share capital	450,000	450,000
Share premium	648,000	648,000
Asset revaluation reserve	1,210,284	1,210,284
Retained earnings	2,855,341	2,528,148
Foreign Currency Translation Reserve	6,670	2,958
Total equity	5,170,296	4,839,390
<i>Non current liabilities</i>		
Staff gratuity	681,593	639,023
Deferred tax liability	891,072	842,274
Loan swap liability	2,134,917	2,219,122
Obligations under Lease	71,169	92,823
Long-term Loan	2,860,023	3,182,952
<i>Current liabilities</i>		
Current of Long-term Loan	423,935	423,900
Trade and other payables	2,619,804	1,978,564
Total liabilities	9,682,512	9,378,658
Total equity and liabilities	14,852,808	14,218,048

PERFORMANCE

Following the challenges experienced in the prior year which took longer to resolve, the turnover for the six months' period to 31 December 2012 was lower by 8% over the same period prior year. However, due to the stringent cost management efforts and the implemented strategic plan of the Company, the overall costs were well contained. This led to the increased gross profit margin to 30% compared to 18% achieved in the same period last year. Consequently, a pretax profit of Kshs 377 million was realized during the current period compared to a pretax loss of Kshs 247 million in the same period last year. The finance costs were impacted positively by the improved lending rates on the domestic market and this trend is expected to continue upto the end of the current financial year. The forex gain in the period was Kshs 145 million compared to a gain of Kshs 74 million in the same period last year. The gain was attributed to the strengthening of the shilling against the Japanese Yen. The comparative figures for prior year have been restated to reflect the correct position following a review by the auditors.

FUTURE OUTLOOK

The Company has continued to implement its strategic plan and to position itself so as to compete effectively and regain its market share in the industry. Despite the growing competitive environment, there are opportunities for growth to meet the increasing local and regional demand for cement. Accordingly, the Company's reorganisation of its business model including its distribution channels to achieve operational efficiencies will enable it to sustain its profitability momentum for the remainder of the financial year.

DIVIDEND

The Directors do not recommend payment of an interim dividend.

BY ORDER OF THE BOARD

JLG MAONGA
SECRETARY

22 February 2013